MalikTrades

BONUS TIPS

Five scenarios to watch for

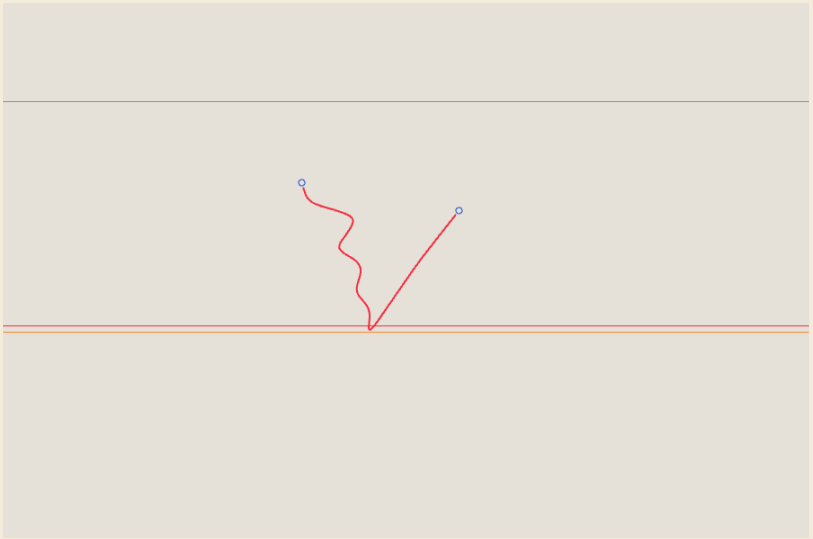
SCENARIO 01

Two Levels, Close Together

When there are 2 VP levels at a relatively close distance from one another.



When you see 2 or 3 VP levels at a relatively close distance from one another, **be cautious when trading them**. More often than not, **price tends to range in between these 2 lines**, as both lines are significant, so price can't decide between the 2 and tends to form a range. I would personally **avoid trading in this scenario**, as I'll more likely be caught up in the chop and we **DON'T** want that.

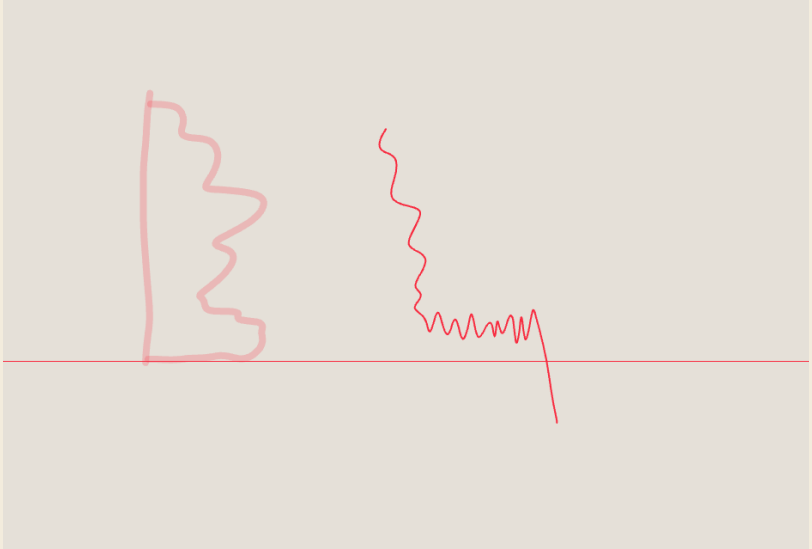


This situation, however, is completely different when the 2 or 3 VP levels are very close together. These are **very high probability to trade** and I would take these any day of the week.

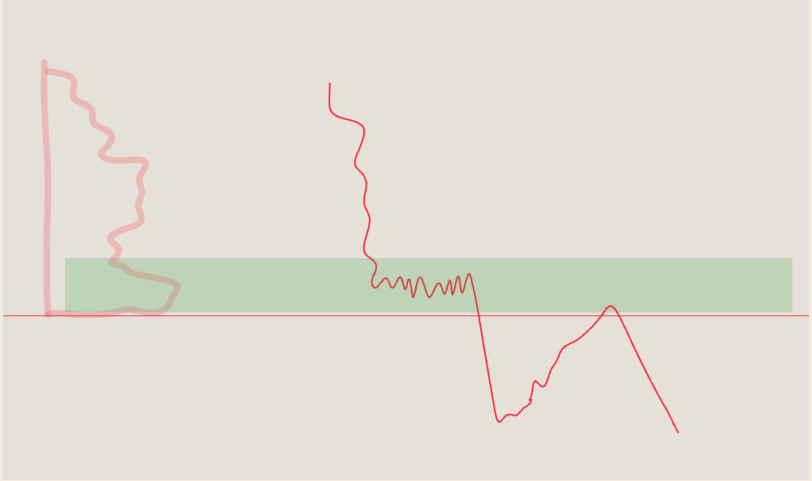
SCENARIO 02

Volume Building at the Level

When is it low probability to take the Snap.



There is only 1 scenario where I will avoid taking the Snap, and it's this particular scenario. When price starts ranging right above or below the level and **builds a lot of volume in the profile** (as seen by an HVN forming above or below the level). Think of the HVN forming as **pressure** and think of the level as a **ceiling**: what happens when there is a lot of pressure building on a ceiling? Yes, it'll more than likely break. So that's why I avoid the Snap in these situations, as it'll more likely than not break through the level.

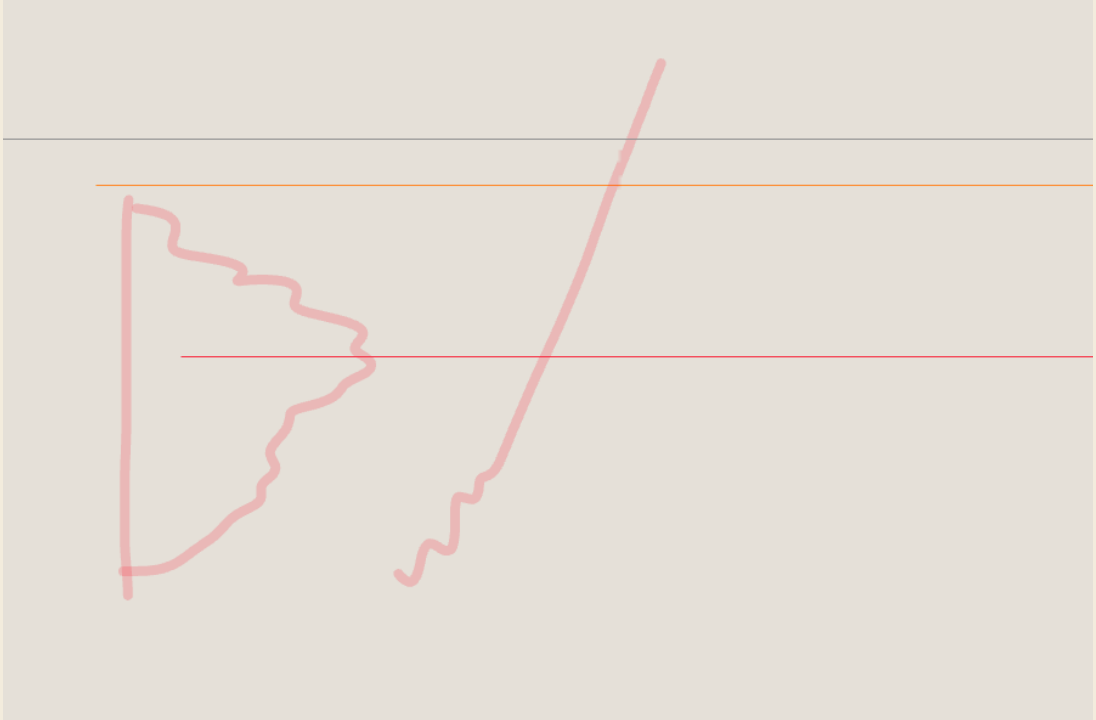


Don't worry though. When price breaks through the level and comes back for the retest, that's what I call the **Reinforced Flip**, and that's **one of my highest probability setups**. The HVN in this case will act as a defensive **WALL** for price, so it'll essentially reinforce the level, making it stronger. In turn, this makes our flipside short even higher probability.

SCENARIO 03

Cutting Through the dPOC

When price cuts through the dPOC with no reaction.

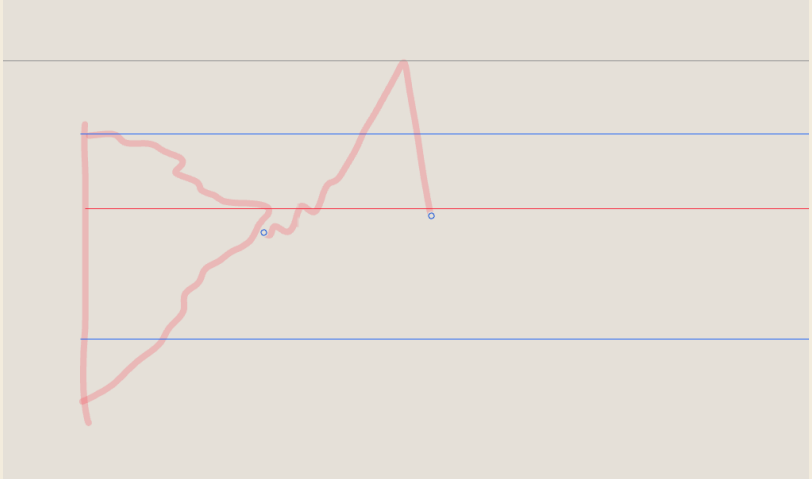


In situations where you are looking to take a Snap off a level, and before reaching the level price **impulsively cuts through the dPOC**, that is a massive red flag and you should **AVOID the Snap**. This is because the dPOC is the place with the **highest volume within the profile**, and if price can easily cut through it with no reaction, it means price is **actively seeking new fair value**. So it's very low probability to take a fade in the opposite direction in this case.

SCENARIO 04

Snapping Back from the dVAH/L

When price snaps back down fast after going past the dVAH/L.



When looking to take The Magnet setup, **always avoid** the setup when **price goes beyond the dVAH/L and instantly snaps back down without building acceptance** beyond the level. This just means that price went to the expensive/cheap region (the area above the dVAH/L) and buyers/sellers intercepted, so The Magnet is not valid here.

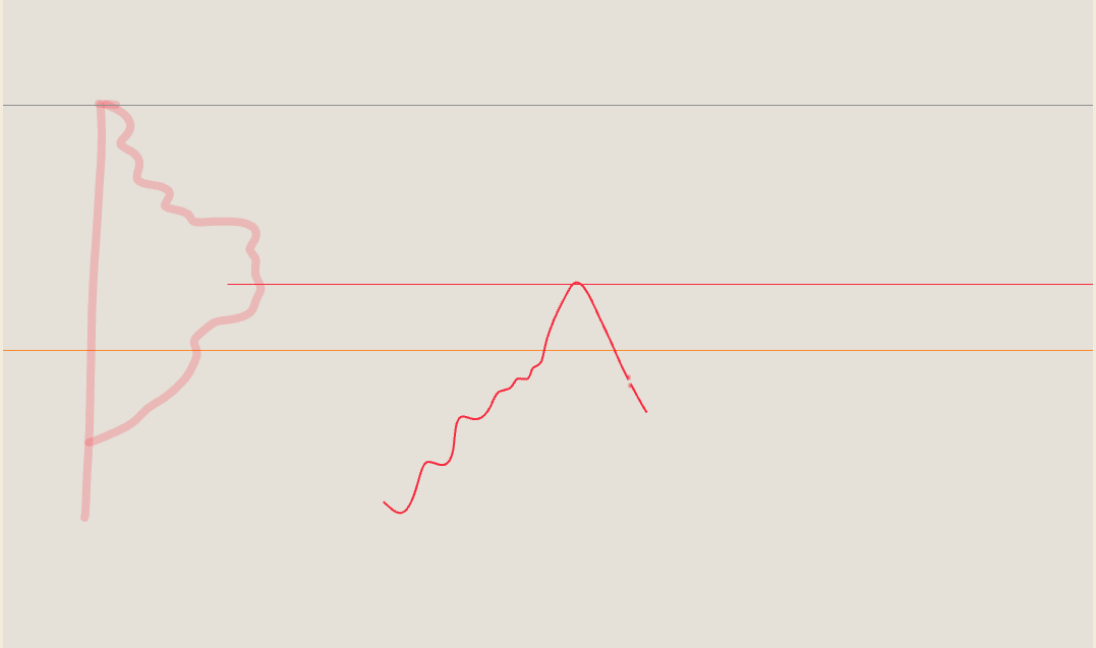


Instead, you should only be taking The Magnet setup in this specific scenario: when price goes beyond the dVAH/L and **builds acceptance beyond the level** (you can see volume building beyond the dVAH/L). This means that price likes the expensive/cheap prices, and therefore it's a **higher probability retest** when price comes back to the dPOC, as price would more likely want to continue in the same direction.

SCENARIO 05

The dPOC Just Above the Level

When the dPOC sits right above or below the level.



In the case where the dPOC is right above or below a VP level, you have to take into account that **price might just go for the dPOC** instead of reacting to the level below, as the dPOC acts as a **STRONG** magnet for price. Therefore, in these cases you might not want to take the **Snap off the level if the dPOC is just above or below**. Of course the trade can still play out, but it's just a risk you have to keep in mind.